STRATEGY FOR NEW INDIA @ 75

MODULE - 11

11 MINERALS

OBJECTIVES

- Double the area explored from 10 per- cent of Obvious Geological Potential (OGP) area to 20 per cent.
- Accelerate the growth of the mining sector from 3 per cent in 2017-18 to 14 per cent, with an average growth rate of 8.5 per cent during 2018-23.
- Increase the job contribution direct, associated and indirect from the current 10 million to 15 million in 2022-23.

11 MINERALS

PRESENT SCENARIO

- India has huge mineral potential.
- It is broadly similar to that of Western Australia, especially in relation to iron ore, bauxite, coal, and heavy minerals sand.
- India identified 5.71 lakh sq. km as the Obvious Geological Potential (OGP) area, but only 10 per cent has been explored and 1.5 per cent is being mined.
- This is one of the reasons, why India's imports of minerals, estimated at Rs. 3,73,662 crore, far outstripped, more than seven times, the value of domestic production of minerals (excluding coal, atomic and fuel minerals) for 2016-17.

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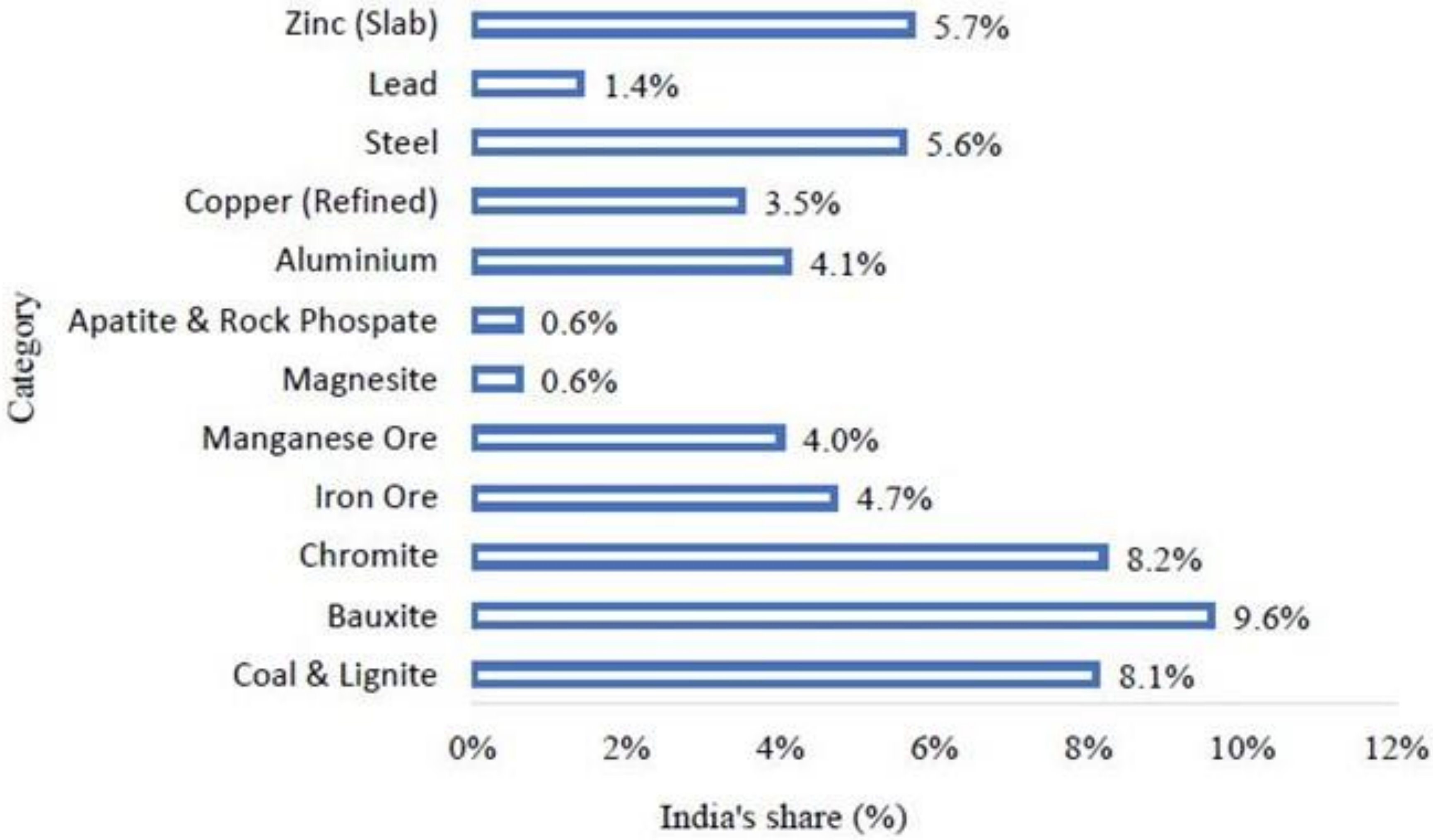
Figure 11.1: India's share in world production, 2015



Source: Ministry of Mines

11 MINERALS

PRESENT SCENARIO ... *Contd*






- India's share in the global production of metallic minerals, such as bauxite, chromite, iron ore and manganese is relatively high.
- India is ranked 4th to 6th among global producers.
- In industrial minerals, India is a large producer of zinc, aluminium and steel, ranking 5th, 5th and 3rd respectively.
- Major minerals producing states i.e., Odisha, Rajasthan, Andhra Pradesh, Chhattisgarh and Karnataka account for nearly two-thirds of the value of minerals produced in the country.

11 MINERALS

PRESENT SCENARIO ... *Contd*

"Minor Minerals" means building stones, gravel, ordinary clay, ordinary sand other than sand used for prescribed purposes.

- India has got huge potential to increase the production of minor minerals. It is estimated that their share in the value of production is about 26 per cent.
- Their production is more labour intensive as compared to larger minerals. They can be a source of large-scale employment generation.
- In 2015, the Government amended the Mines and Minerals (Development and Regulation) Act to mandate auctions for the allocation of exploration and mining rights for minerals under its purview.

11 MINERALS

CONSTRAINTS

WHAT ARE THE DIFFICULTIES?

1. Shortcomings in the licensing regime, such as the separation of auction of prospecting licences and provision of mining licences and different auction methodologies across different sectors like coal, oil and minerals etc.
2. Heavy cost of acquiring land.
3. High incidence of taxes, royalties and levies in comparison to global standards and they are higher by more than 65%.
4. Inadequate infrastructure resulting in evacuation problems.
5. Workforce productivity and skilling challenges, because of the disconnect between training institutions and industry.

11 MINERALS

WAY FORWARD

1 PRIVATE SECTOR PARTICIPATION BY LAUNCHING A MISSION "EXPLORE IN INDIA"

- For bulk or surfacial minerals, i.e., iron ore, bauxite, limestone, the provision of "reservation" of areas for exploration by state agencies should be utilised.
- It is desirable for public sector units and private sector companies to have a level-playing field with respect to mining concessions.
- An exclusive subset of rules to facilitate the exploration of rare earth minerals through private sector participation.
- Mining companies should be allowed the freedom to co-mine other minerals found in the same mining area.
- We should facilitate investment, including FDI and we need to rationalize tax structures.

11 MINERALS

WAY FORWARD

2 SINGLE WINDOW AND TIME-BOUND ENVIRONMENT AND FOREST CLEARANCES

Ministry of Environment, Forest and Climate Change
Government of India

- PARIVESH was launched on August 10, 2018 as a single window hub for environment, forest, wildlife and CRZ clearances.
- PARIVESH is a web based, role based workflow application which has been developed for online submission and monitoring from Central, State and district level authorities.
- All statutory approvals should mandatorily be granted within 180 days of application for exploration and mining of minerals.
- Local forest officers may be empowered to grant permission under the FC Act, 1980 for exploration in forest areas.
- State PSUs and the private sector should be allowed to undertake compensatory afforestation on degraded Government forestland, like central PSUs.

11 MINERALS

WAY FORWARD

3 BOOSTING MINOR MINERALS THROUGH A RELAXED LICENSING REGIME

- Landowners/farmers/tribals need to be given mining rights for minor minerals in their land.
- This enables them to mine either on their own or by outsourcing it, without auction or payment of an additional 30 per cent of the royalty to the DMF.
- If the landowner does not intend to undertake mining of minor minerals on her land, these mining leases can be allocated through the auction route.

11 MINERALS

WAY FORWARD

4 DATA REPOSITORY, REGULATION AND REPORTING

NDR

- A National Mineral Regulatory Authority, with subordinate state authorities, may be created to regulate the minerals sector to operate transparently with internationally recognized technical standards.
- A National Data Repository (NDR) of Mineral Resources should be created and uploaded online.
- Huge mineral bearing areas reserved for state agencies that have not been utilized for more than 2 years should be de-reserved and allocated to the end user industry/ auctioned.
- A system of self approval/ self-certification with GIS based monitoring should be adopted for enforcing the provisions of the MMDR Act.
- This should be accompanied with a provision for heavy monetary penalties for each violation.

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11 MINERALS

WAY FORWARD

5 OTHER ASPECTS

- Rail freight charges for all minerals should be reduced, as because of high freight, now we are importing some minerals.
- Rationalize taxation/royalty and other levies on mining, capping it at a maximum of 40 per cent of the sale value, as per global practice, to make mining competitive globally.
- Encourage technological upgradation by reducing import duty, initially for a period of five to ten years, on equipment/cutting edge technology to boost safety, limit environmental damage, improve productivity and increase growth.
- India should create an organization for strategic acquisitions of mines in other countries.

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